



United States
Attorney's Office
Western District of Washington



Indian national sentenced to prison for Medicare fraud scheme that stole more than \$1 million in taxpayer funds

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For Immediate Release

U.S. Attorney's Office, Western District of Washington

Fraudulently billed for lab tests that never occurred

Seattle – An Indian national convicted of health care fraud was sentenced today in U.S. District Court in Seattle to two years in prison, announced U.S. Attorney Charles Neil Floyd. Mohammed Asif, 35, was arrested on April 10, 2025, at Chicago O'Hare International Airport while attempting to board an international flight. On September 4, 2025, Asif pleaded guilty to conspiracy to commit health care fraud in connection with the operation of American Labworks LLC, a diagnostic testing laboratory in Everett, Washington. Asif conspired with others to bill Medicare for COVID-19 tests and other respiratory illness tests that had not been ordered or performed.

At today's sentencing hearing U.S. District Judge James L. Robart said the fraud amount, \$1,174,813, "was a significant amount of money. It was money that was siphoned out of the Medicare system that is designed to treat the elderly and the poor... (The defendant) lacks moral character as a knowing participant in the fraud... He is someone the public needs to be protected from."

"Mr. Asif participated in a scheme to steal more than a million dollars from Medicare -- funds that are meant to be used for important medical care," said U.S. Attorney Neil Floyd. "Regrettably, schemes like this one are not unique. Medicare is a constant target of fraud, and the harm to the United States and taxpayers is substantial. We will continue to investigate and prosecute such fraud schemes."

According to records filed in the case, the Washington Secretary of State has American Labworks being formed in October 2021 and dissolved in March 2025. Washington Department of Health records indicate that its license as a Medical Test Site expired in December 2023. Asif is listed in filings with the state and with Medicare as the owner and director of American Labworks.

Claims data from April 2024 to December 2024 show that American Labworks billed Medicare more than \$8.7 million for laboratory testing services, including for COVID-19 testing. Medicare paid out over \$1.1 million to the lab.

Between June 2024 and March 2025, Medicare received more than 200 complaints from enrollees and others about American Labworks. Many of these complainants reported that Medicare was billed for testing that was never received. For example, one Medicare enrollee noted that Medicare paid American Labworks \$545 for COVID-19 tests in August 2023 and March 2024. But the beneficiary had never had any COVID-19 tests on those dates. Multiple Medicare beneficiaries said they too had seen bills for tests that never occurred. Physicians who had allegedly ordered the tests said they had not sent patients to American Labworks, and many patients said they had never heard of the referring physician listed in the records.

In some instances, the billing records indicated a beneficiary's testing date of service occurred after other records indicated the beneficiary was dead. And in other instances, the physician who allegedly referred the patient for testing was dead at the time of the date of service.

Financial records indicate Mohammed Asif received multiple checks and made withdrawals from the American Labworks bank account, which he controlled. In May 2024, he withdrew \$260,000 from the American Labworks checking account. Soon after that Asif, who had been in the U.S. on a student visa, returned to India. He came back to the U.S. in March 2025 as investigators were unraveling the fraud. Prosecutors and special agents with the U.S. Department of Health and Human Services Office of Inspector General (HHS-OIG) and Federal Bureau of Investigation (FBI) moved quickly to draft the criminal complaint and take Asif into custody. A grand jury then returned the indictment of Asif on April 23.

Asif conspired with other people to accomplish the fraud. The government's investigation is ongoing.

"Billing Medicare for millions of dollars' worth of laboratory testing that was never furnished is a serious offense that undermines the integrity of our healthcare system and diverts critical resources from those who truly need them," said Robb R. Breeden, Acting Special Agent in Charge of the U.S. Department of Health and Human Services, Office of Inspector General (HHS-OIG). "This sentencing reflects HHS-OIG's continued commitment to working with our law enforcement partners to identify, investigate, and bring to justice those who seek to exploit federal healthcare programs for their own personal gain."

"Like so many other fraudsters who take advantage of such situations, Mr. Asif used the COVID-19 pandemic to steal from taxpayers for his own gain," said W. Mike Herrington, Special Agent in Charge of the FBI Seattle field office. "In just a couple of years, his company billed Medicare millions of dollars for laboratory testing that never happened. To those would-be criminals who believe their schemes will never be uncovered: as this case shows, the FBI and our partners will carefully follow the money and financial records to ensure justice is served."

Asif was ordered to pay \$1,174,813 in restitution. He will likely be deported following his prison term.

The case is being investigated by HHS-OIG and the FBI.

The case is being prosecuted by Assistant United States Attorney Philip Kopczynski.

Contact

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